Needless to say, the Reserve Bank's inflation-targeting framework is yet to be fully tested. The test will come in a macroeconomic situation when growth is trending down and inflation is trending up, not an unlikely possibility. The test will come if and when commodity prices move back up, pressuring both inflation and fiscal rectitude. The test will also come when the new framework is called upon to address threats to financial stability arising, in particular, from surges and stops of capital. The Reserve Bank will have to tread the fine line of being flexible on inflation-targeting without compromising its credibility. That will be a difficult—but not an impossible—challenge.